Retention Discount Policy

TelNova Communications • Internal Policy Document • RET-POL-021 • Version 3.2 • Effective 01 March 2026 • Owner: Customer Retention Operations

1. Purpose and Scope

This policy defines the discounts that retention agents may offer to residential customers who express an intention to cancel service or who are flagged as high churn risk by the analytics team. It applies to all voice, internet, and TV subscriptions. It does not apply to business accounts, which are governed by document RET-POL-014.

2. Discount Authorization Tiers

The maximum discount an agent may offer without supervisor approval depends on the customer's tenure and current contract type. All discounts are applied to the monthly recurring charge (MRC) and are valid for a maximum of 12 billing cycles.

Customer Tenure	Month-to-Month Contract	One-Year Contract	Two-Year Contract
Less than 12 months	5% (agent) / 10% (supervisor)	8% (agent) / 12% (supervisor)	10% (agent) / 15% (supervisor)
12 to 36 months	10% (agent) / 15% (supervisor)	12% (agent) / 18% (supervisor)	15% (agent) / 20% (supervisor)
More than 36 months	15% (agent) / 20% (supervisor)	18% (agent) / 25% (supervisor)	20% (agent) / 30% (supervisor)

Any discount exceeding the supervisor threshold requires written approval from the Retention Operations Manager and must be logged in the CRM under case category RET-EXC within 24 hours.

3. Eligibility Conditions

A retention discount may only be offered when ALL of the following conditions are met: (a) the account has no more than one unpaid invoice; (b) the customer has not received a retention discount in the previous 12 months; (c) the customer has an active service — discounts cannot be offered to reactivate accounts already disconnected for more than 30 days (see Win-Back Procedure, RET-POL-019); and (d) the request is initiated during a cancellation call, a churn-risk outreach call, or a complaint escalation classified Severity 2 or higher.

4. Bundling with Service Upgrades

Agents are encouraged to pair discounts with a contract upgrade. When a month-to-month customer agrees to move to a one-year contract, the agent may add 5 percentage points to the applicable agent-level discount cap. When moving to a two-year contract, the agent may add 8 percentage points. These uplifts do not stack with supervisor approvals.

5. Prohibited Practices

Agents must never: offer discounts proactively to customers who have not signaled cancellation intent or been flagged as at-risk; apply discounts to equipment rental fees, installation fees, or regulatory surcharges; promise that a discount is 'permanent' or 'lifetime'; or combine a retention discount with an active promotional campaign price without supervisor sign-off. Violations are subject to the disciplinary process described in HR-POL-007.

6. Reporting

All offered discounts — accepted or declined — must be logged in the CRM within the same business day. The Retention Operations team reviews discount utilization weekly. Discount acceptance rate and post-discount 90-day churn rate are the two primary KPIs for this program.